Reconciliation of Non-GAAP Financial Measures

The following tables reconcile the most directly comparable GAAP financial measure to each of the non-GAAP financial measures discussed above.

	For the year ended December 31,		
	2019	2018	2017
(in thousands, except percentages and per share data)			
Non-GAAP gross profit reconciliation:			
Gross profit	$ 162,847	$ 158,270	$ 149,221
Add: Stock-based compensation expense	5,095	5,006	3,772
Add: Amortization of intangible assets	—	100	545
Add: Restructuring charge	300	—	311
Non-GAAP gross profit	$ 168,242	$ 163,376	$ 153,849
Non-GAAP gross margin reconciliation:			
GAAP gross margin: GAAP gross profit over GAAP total revenue	79.3 %	81.9 %	83.0 %
GAAP to non-GAAP gross margin adjustments	2.7	2.7	2.6
Non-GAAP gross margin	82.0 %	84.6 %	85.6 %
Non-GAAP operating loss reconciliation:			
GAAP operating loss	$ (48,075)	$ (42,861)	$ (53,208)
Add: Stock-based compensation expense	35,804	38,436	33,731
Add: Amortization of intangible assets	—	100	545
Add: Litigation settlement charge	—	—	1,143
Add: Restructuring charge	3,582	—	1,349
Non-GAAP operating loss	$ (8,689)	$ (4,325)	$ (16,440)
Non-GAAP operating margin reconciliation:			
GAAP operating margin: GAAP operating profit over GAAP total revenue	(23.4)%	(22.2)%	(29.6)%
GAAP to non-GAAP operating margin adjustments	19.2	20.0	20.5
Non-GAAP operating margin	(4.2)%	(2.2)%	(9.1)%
Non-GAAP net loss reconciliation:			
GAAP net loss	$ (48,846)	$ (43,084)	$ (53,362)
Add: Stock-based compensation expense	35,804	38,436	33,731
Add: Amortization of intangible assets	—	100	545
Add: Litigation settlement charge	—	—	1,143
Add: Restructuring charge	3,582	—	1,349
Non-GAAP net loss	$ (9,460)	$ (4,548)	$ (16,594)
Non-GAAP net loss per share reconciliation:			
GAAP net loss per share	$ (0.44)	$ (0.42)	$ (0.57)
Add: Stock-based compensation expense per share	0.32	0.38	0.36
Add: Amortization of intangible assets per share	—	—	0.01
Add: Litigation settlement charge per share	—	—	0.01
Add: Restructuring charge per share	0.03	—	0.01
Non-GAAP net loss per share	$ (0.09)	$ (0.04)	$ (0.18)
Free cash flow:			
Net cash provided by (used in) operating activities	$ (2,406)	$ 14,157	$ 3,036
Purchase of property and equipment	(1,518)	(1,956)	(6,454)
Free cash flow	$ (3,924)	$ 12,201	$ (3,418)

Annual Recurring Revenue

Beginning with the fourth quarter of 2018, we began monitoring a new operating metric, total annual recurring revenue ("Total ARR"), which is defined as the annualized value of all recurring revenue contracts active at the end of a reporting period. Total ARR includes the annualized value of subscriptions ("Subscription ARR") and the annualized value of software support contracts related to perpetual licenses ("Perpetual license support ARR") active at the end of a reporting period and does not include revenue reported as perpetual license or professional services in our consolidated statement of operations. We are monitoring these metrics because they align with how our customers are increasingly purchasing our solutions and how we are managing our business. These ARR measures should be viewed independently of revenue, unearned revenue, and customer arrangements with termination rights as ARR is an operating metric and is not intended to be combined with or replace those items. ARR is not an indicator of future revenue and can be impacted by contract start and end dates and renewal rates.

ARR metrics as of December 31, 2019 and 2018 were as follows (unaudited):

(in millions, except percentages)	December 31, 2019	December 31, 2018
Total ARR	$ 179.5	$ 162.6
Year-over-year percentage increase	10 %	20 %
Subscription ARR	$ 113.9	$ 95.9
Year-over-year percentage increase	19 %	32 %
Perpetual license support ARR	$ 65.6	$ 66.7
Year-over-year percentage increase (decrease)	(2)%	6 %

Factors Affecting our Performance

Market Adoption of Enterprise Mobility

We are affected by the pace at which enterprises adopt mobility into their business processes and purchase and expand a mobile security platform. Because our prospective customers often do not have a separate budget for mobile security products, we invest in marketing efforts to increase market awareness, educate prospective customers and drive adoption of our platform. The degree to which prospective customers recognize the mission-critical need for mobile security solutions and deploy mobile applications to enhance employee productivity will determine the customer demand for our solutions. We believe our rate of growth will also be positively correlated to the importance prospective customers place on securing their mobile data.

Customer Preference for Best-of-Breed vs. Suite

While we believe we are the best-of-breed platform in our industry, our market is intensely competitive and we expect competition to increase in the future from established competitors that have greater resources, customer bases and brand recognition, and new market entrants. Many of our competitors sell enterprise mobility management or mobile security as a component of a broader suite. We believe the degree to which prospective customers view our value proposition as differentiated will determine the customer demand for our solutions. For example, the level of security desired, the preservation of the native experience on end user devices, and the ability of the solution to work with multiple cloud offerings are evaluated by our prospective customers as they make buying decisions.

Investment in our Ecosystem

We have invested, and intend to continue to invest, in expanding the breadth and depth of our ecosystem and partnerships. We expect to invest in research and development to enhance the application and technology integration capabilities of our platform. We are also enhancing our solution to allow native applications written to operating systems specifications to be seamlessly integrated. The degree to which we expand our base of ecosystem partners will increase the value of our platform for our customers, which could lead to an increased number of new customers as well as renewals and follow-on sales opportunities.

Ability to Improve and Grow Our Worldwide Sales Channels

We have invested, and intend to continue to invest, in improving our sales operations to drive additional revenue and support the growth of our customer base. We work with our channel partners to identify and acquire new customers as well as pursue follow-on sales opportunities. We need to further leverage our channel by training existing and new partners to independently sell and support our products. Newly-hired sales personnel typically require several months to become productive and turnover of productive sales personnel can inhibit our revenue growth. All of these factors will influence timing and overall levels of sales productivity, impacting the rate at which we will be able to acquire customers to drive revenue growth.